

THE REGENCY BIAS STUDY

Why the last big move is the only one anyone remembers, measured on Bitcoin. The crowd's own mood gauge against the past and the future, every greed and fear reading graded, and every big month inside a bear market with what came next.

Then August 2026, and the only cure that has held up, base rates with the sample size attached.

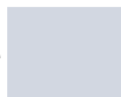
how closely the Fear & Greed index tracks

the LAST 30 days of price



0.70

the NEXT 30 days of price



0.13

correlation, daily, Feb 2018 to Sep 2026, 3,142 days. 1.0 = moves in lockstep, 0 = no relation.

0.70

how the mood gauge tracks
the last 30 days

0.13

how it tracks the next 30
days

0 of 6

big bear-market months
higher three months later

Educational, not financial advice. Every figure here is computed from the same two series, the Fear and Greed index since February 2018 and Bitcoin's daily and monthly closes since 2011, and every count carries its sample size.



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THE HABIT

WHAT REGENCY BIAS IS

Recency bias is the tendency to weigh what just happened far more heavily than what happened before it. After a red month the world is ending. After a green month the bull is back. It is not stupidity. It is how memory is built, the most recent input is the loudest, and markets are one of the few places where that wiring is charged for directly.

The trouble is that markets are not a coin whose last flip tells you about the next one, and they are not a trend that continues because it continued. They are a mix of both, and which one you are in decides whether the habit pays or bankrupts you. This study measures that on Bitcoin, using the crowd's own mood gauge and fifteen years of monthly closes.

The data. The Fear and Greed index from alternative.me, a daily 0 to 100 mood reading that blends volatility, volume, social media, dominance and trends, available since 1 February 2018, 3,142 days to 12 September 2026. Monthly returns from Bitcoin's daily closes since January 2011. Bear markets are the structural ones this page uses, June to November 2011, December 2013 to January 2015, December 2017 to December 2018, November 2021 to November 2022, and the current one from the October 2025 top.

ONE CAVEAT UP FRONT

The index is a vendor's recipe, not a law of nature. It is used here because it is the number the crowd itself watches, which makes it the cleanest measure of what the crowd feels.

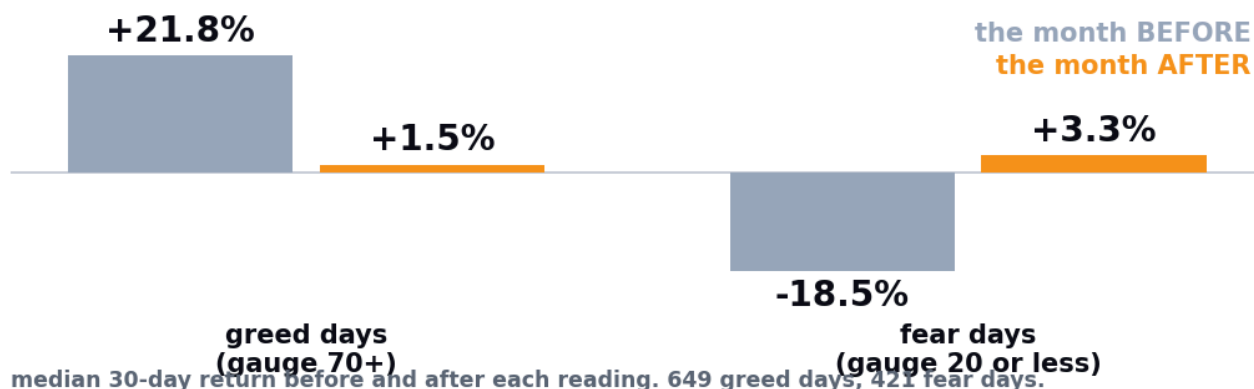
THE GAUGE IS A MIRROR IT TRACKS THE MONTH BEHIND YOU

Correlate the daily gauge with Bitcoin's return over the previous 30 days and you get **0.70**, a strong relationship. Correlate the same gauge with the return over the next 30 days and you get **0.13**. Over the next 90 days, 0.21. The mood of the crowd is almost entirely a function of what price just did, and almost unrelated to what it does next.

READING	DAYS	PREVIOUS 30 DAYS	NEXT 30 DAYS	NEXT 30 UP	NEXT 90 DAYS
greed, 70 or higher	649	+21.8%	+1.5%	52%	+6.4%
extreme greed, 80 or higher	165	+36.4%	+14.2%	73%	+29.8%
fear, 20 or lower	421	-18.5%	+3.3%	63%	-2.9%
extreme fear, 10 or lower	69	-24.7%	+4.4%	65%	+13.2%
any day	3,142		+1.4%	53%	+2.5%

Medians. The previous 30 days is what the crowd had just lived through when it reported that mood.

Greed days had a previous month of +22% and a next month of +1.5%, the same as any random day at +1.4%. Fear days had a previous month of -18% and a next month of +3.3%, higher 63% of the time. The crowd feels best when the edge has already been spent and worst after the damage has already been done. One honest exception belongs in the table. Extreme greed, 80 or higher, kept running, +14% over the next month. Those 165 days sit almost entirely inside the 2021 and 2024 bull runs, which is the point of the next page.



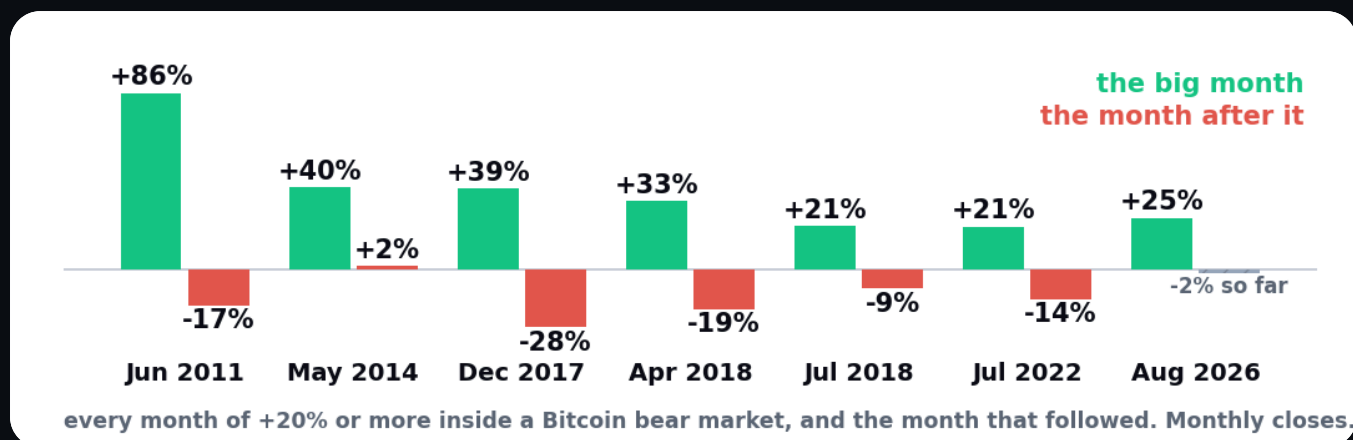
WHEN THE HABIT PAYS AND WHEN IT KILLS

THE SAME MONTH, TWO ENDINGS

Take every calendar month since 2011 in which Bitcoin gained 20% or more. Outside bear markets there are 42 of them, and the next month was green 67% of the time with a median of +11%. That is momentum, and it is why recency bias feels like wisdom. In a bull market, betting that last month continues is usually right.

MONTH	ITS RETURN	NEXT MONTH	NEXT 3 MONTHS
Jun 2011	+86%	-17%	-68%
May 2014	+40%	+2%	-24%
Dec 2017	+39%	-28%	-50%
Apr 2018	+33%	-19%	-16%
Jul 2018	+21%	-9%	-18%
Jul 2022	+21%	-14%	-12%
Aug 2026	+25%	-1.6% so far	

Every month of +20% or more that printed inside a Bitcoin bear market. Monthly closes.



Inside bear markets there are 6. The next month was red in 5 of 6, median -16%. Three months later the price was lower in 6 of 6, median -21%. Same size of month, opposite ending, and the only thing that separated them was the regime the month printed in. The habit that made money in the first table lost it in the second.

THE LIVE CASE

AUGUST 2026, DATED

August 2026 closed +25%, the biggest month in years and the first green August of any Bitcoin bear market. It printed inside a downtrend by structure, below the last lower high at \$82,833. The mood gauge peaked at 74 on 2026-08-25. Price peaked nine days later, on 2026-09-03 at a close of \$81,264. The gauge reads 63 as of 2026-09-12, and September is -1.6% so far.

By the first table, August was a greed month, and greed months were followed by a next month indistinguishable from any random month. By the second table, August was a big month inside a bear market, and those were followed by a red month five times out of six and a lower price three months later six times out of six. Neither table is a forecast. Both are the base rate the crowd is currently ignoring, because the last thing that happened was up.

THE TEST

The bias says the show continues. Six for six says it ends. This is a study, not a call. The test for the bear case is unchanged, a daily and weekly close above \$82,833.

BASE RATES, WITH THE SAMPLE SIZE ATTACHED

Ask the base-rate question first. Not what happened last month, but what happened the last six times this exact thing happened. The answer is usually available, it is usually boring, and it is usually right more often than the feeling.

Name the regime before the pattern. Every table in this study splits the same way. In a bull market the last move continues, in a bear market it reverses. A pattern quoted without its regime is a coin flip dressed up as a rule.

Treat the mood gauge as a thermometer of the past. It tells you what the crowd has just been through. It has almost nothing to say about the next month, which is exactly when the crowd trusts it most.

Write the call down before the move, and grade it after. The only defence against your own memory is a record it cannot edit. That is why every call on this page ships with a date, a falsifier and a sample size, and why the misses get posted as loudly as the hits.

Data pinned 12 September 2026. Fear and Greed from alternative.me, 3,142 daily readings. Bitcoin closes from the Coin Metrics and Bitstamp series. Scripts: BTCDaily/updates/threads/rb_charts.py. This is education, not financial advice.

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